

XIANGLONG (SEAN) KONG

xlkong@uchicago.edu – www.xianglong-kong.com – (773) 690-9644

Placement Directors:	Manasi Deshpande	mdeshpande@uchicago.edu	(773) 702-8260
	Evan Rose	ekrose@uchicago.edu	(773) 834-3116
Graduate Administrator:	Kathryn Falzareno	kfalzareno@uchicago.edu	(773) 702-3026

Office Contact Information

University of Chicago, Kenneth C. Griffin Department of Economics
Saieh Hall for Economics
5757 S University Ave
Chicago, IL 60637

Education

University of Chicago, Ph.D. Economics	2020–2026 (<i>Expected</i>)
University of Chicago, M.A. Economics	2017–2018
Central University of Finance and Economics, B.S. Economics	2013–2017

References

Professor Esteban Rossi-Hansberg University of Chicago Kenneth C. Griffin Department of Economics rossihansberg@uchicago.edu (650) 714-2093	Professor Rodrigo Adão University of Chicago Booth School of Business rodrigo.adao@chicagobooth.edu
Professor Chad Syverson University of Chicago Booth School of Business chad.syverson@chicagobooth.edu (773) 702-7815	Professor Felix Tintelnot Duke University Department of Economics felix.tintelnot@duke.edu

Research and Teaching Fields

Primary	International Trade, Industrial Organization
Secondary	Production Networks, Firm Dynamics, Labor Economics

Job Market Paper

Learning in Firm-to-Firm Trade (with Emmanuel Dhyne)

Abstract: We study how firms' productivity growth depends on the productivity of their suppliers and buyers and examine the aggregate implications of this form of learning. Using data on firm-to-firm transactions in Belgium, we document evidence consistent with learning from both suppliers and buyers, particularly from the most productive ones. To study the implications of this form of learning in general equilibrium, we develop a model in which firm productivity growth is shaped by the productivity of an endogenously formed network of suppliers and buyers, where firms bargain over the surpluses from trade and learning. Learning between suppliers and buyers increases bilateral trade volumes: suppliers charge lower markups when they learn more from buyers, and buyers have higher demand when they learn more from suppliers. We estimate a small open economy model with firms learning from both domestic and foreign trading partners. Quantitatively, we find that the value of learning is equivalent to 19

percent of aggregate consumption. Welfare gains from reductions in international trade participation costs are underestimated by over 7 percent without learning. Gains from trade are amplified when foreign partners are more productive through productivity catch-up and network upgrading, but are dampened when less productive foreign firms crowd out domestic learning and weaken incentives to form productive relationships.

Publications

Endogenous Production Networks with Fixed Costs (with Emmanuel Dhyne, Ken Kikkawa, Magne Mogstad, and Felix Tintelnot), *Journal of International Economics*, 2023, Volume 145, 103841

Abstract: We develop a model of endogenous production networks with fixed costs in the formation of links between firms. We show that the closed economy equilibrium is unique if the set of feasible networks consists only of networks that are acyclic and the buyer initiates the link formation while having full bargaining power in price negotiations with the supplier. We provide examples of multiple equilibria if the supplier initiates the link formation in both cyclic and acyclic feasible networks or if the buyer initiates the link formation in a cyclic production network. We take the acyclic production network model to Belgian data on firm-to-firm production networks and show that it matches well the salient features of the network. The model generates substantial churn in domestic firm-to-firm linkages in response to trade shocks, while delivering only moderately different welfare changes compared to a model with fixed linkages.

Doing Business Far from Home: Multinational Firms and Labor Market Outcomes in Saudi Arabia (with Alessandra L. González), *European Economic Review*, 2025, Volume 172, 104944

Abstract: We study the labor market outcomes at foreign firms in a host country with deep-seated cultural norms that differ substantially from their home country norms. Using employer–employee matched data of the private sector in Saudi Arabia, we find that foreign firms hire a smaller share of women but offer them disproportionately higher wages than domestic firms, suggesting that wage differentials alone do not fully explain worker share differences. To account for these findings, we develop a model incorporating both productivity and amenities to quantify their roles in determining labor market outcomes. Through the lens of our model, women experience disproportionately lower amenities at foreign firms relative to men, such that women sorting away from foreign firms is primarily driven by amenities rather than productivity. Finally, among foreign firms, workers at foreign firms from culturally similar countries to the host country experience greater amenities but lower wage premiums. Our results demonstrate amenities are quantitatively important in understanding the labor market outcomes of foreign firms in a setting where home and host country cultural norms depart.

Working Papers

Firm Life Cycle, Endogenous Production Networks, and Frictional Labor Market (with Emmanuel Dhyne, Toshiaki Komatsu)

Abstract: We characterize the life cycle of firms in the presence of frictional product and labor markets and investigate their implications on industrial and labor market policies. Using an extensive panel of Belgian microdata on firm-to-firm transaction linkages and workforce composition, we first document how firms grow in supply chains by adding suppliers, customers, and own employees. We show that firm growth in the product and labor markets exhibits life cycle dynamics, driven by both intensive-margin and extensive-margin adjustments to the composition of trade linkages and workers. Guided by the empirical patterns, we develop an equilibrium model of firm dynamics with endogenous buyer-supplier linkages and worker-firm matching. The novel feature of our model is that both product and labor markets are frictional, so that the expansions of firms are subject to search and matching frictions in both markets. We estimate the model to match key firm life cycle patterns and network characteristics. In our counterfactual analysis, we analyze the effectiveness of various subsidy schemes targeting product and labor markets at different life stages of firms.

Policy Signals, Cultural Norms, and the Misallocation of Talent (with Alessandra L. González, Jennifer Peck)

Abstract: Gender and race-based barriers to labor market participation have long been associated with misallocation of talent and capital, with notable impacts on aggregate productivity. We examine the aggregate effects of the 2018 lift of the women's driving ban in Saudi Arabia. We find that firms and workers react to the announcement of the policy very quickly, and that the announcement is associated with increases in employment and the quality of job matches. There is evidence of significant reallocation of workers across firms in response to the policy, with a surge in the share of firms that hire (any) women and increased movement of male and female employees across firms. We develop a framework that examines how the announcement of the elimination of driving restrictions reduces distortions in the labor market, inducing firms to begin hiring women, raising firm efficiency, and increasing employment and wages for women and men.

Works in Progress

Geographic Diversification in Home Insurance Markets (with Christina Qiu and Mark Walker)

Place-Based Industrial Policy in Endogenous Production Networks (with Kieran Marray, Kathryn McDonald, Peter Öhlinger, and Ruochen Dai)

Trade Credit Insurance and Supply Chain Resilience (with TSZ Chai Fung, Honglin Li, and Woongchae Yoo)

Awards, Scholarships, and Grants

Mesoeconomics Minor Research Grant Scheme, Alfred P. Sloan Foundation	2024
Industrial Organization Initiative Grant, Becker Friedman Institute	2022
Lee Prize (Macroeconomics), University of Chicago	2021
Bernie Munk Fellowship, University of Chicago	2020-2026
Economics Fellowship, University of Chicago	2020-2026
Outstanding Undergraduate Student, CUFU, China	2017
Outstanding Undergraduate Thesis, CUFU, China	2017

Teaching Experience

International Economics (undergraduate), TA for Prof. Tintelnot	Spring 2024
Spatial Economics (graduate), TA for Prof. Rossi-Hansberg	Winter 2024
Topics in International Trade (graduate), TA for Prof. Tintelnot	Spring 2023
International Economics (undergraduate), TA for Prof. Tintelnot	Winter 2023
Empirical Analysis II (graduate), TA for Prof. Hansen	Winter 2022

Research Experience and Other Employment

Research Intern, National Bank of Belgium	06/2023–03/2024
Research Assistant for Prof. Tintelnot, University of Chicago	09/2021–06/2024
Research Assistant for Prof. Rossi-Hansberg, University of Chicago	09/2022–06/2023
Research Professional (PI: Prof. Tintelnot), Becker Friedman Institute	02/2018–03/2021
Research Professional (PI: Prof. Schmidt), Becker Friedman Institute	02/2018–07/2019

Professional Experience

Conferences

2025: Chicago

2024: Chicago Chinese Social Research Group; Chicago

2023: Chicago Chinese Social Research Group; UPenn Labor, Firm, and Macro Reading Group; Midwest International Trade and Theory Conference (Spring); Annual Canadian Economics Association Meetings; Workshop on International Economic Networks; Midwest International Trade and Theory Conference (Fall); Chicago

2022: European Winter Meeting of the Econometric Society; Chicago

2021: Chicago

Refereeing Activity

Journal of Political Economy

Additional Information

Citizenship

China

Programming Skills

Stata, Matlab, Python, R; L^AT_EX, Overleaf; Microsoft Office

Languages

English (fluent), Chinese (native)